
COURSE INTRODUCTION: INDIAN ECONOMIC POLICY (MEC-205)

The focus of the course on Indian Economic Policy is to discuss the analytical framework within which the economic policy has evolved over time. It highlights the consideration that has underpinned the formulation and implementation of the policies at the macro and at micro (sectoral) levels. Several theoretical concepts have found an expression in this course. The economic policies conditioned the environment and in turn were conditioned by the environment. This two-way relationship has been examined in this course. An integrated approach to different aspects of policy-making has been adopted.

The course is structured around six blocks. Each block is further sub-divided in to several units. Each Unit is self-contained and has organic linkages with all other Units.

Providing an overview of Indian economic development in historical perspective, **Block 1** presents the status of growth and structure of the Indian economy since independence. The block also discusses the prospects and opportunities of Indian economy in the context of domestic and international developments. Demographic profile of India and its implications for demographic dividend and the resource base of Indian economy both in terms of natural resources and physical and social infrastructure have also been covered in this block.

Block 2 deals with the development strategies adopted in India. It focuses on the policy choice exercised between state and market as the principle drivers of economic activity in different phases of India's development journey.

Block 3 throws light on two major economic policy instruments i.e., monetary and fiscal policy. The four units covered in this block focus the decisive role that has been played by the monetary and fiscal authorities in guiding a growing economy. It highlights some of the major milestones including measures related to the FRBM Act, the implementation of goods and services tax (GST,) the recommendation of 15th Finance Commission and the new mandate of the monetary policy on inflation targeting and the institutional context in which that has to be pursued.

Block 4 on sector specific issues and policies assess growth in all three sectors of economy i.e., primary, secondary and organised and unorganised services sector, focusing on issues and concerns of these sectors that need to be addressed in the respective policy initiatives for those sectors.

Block 5 analyses the External Sector and Trade Policy. It examines the emerging external sector in India's economy and issues to be addressed in Trade Policy.

The major issues and challenges encountered in India's economic policy-making have been identified and analysed in **Block 6**. These issues are: Poverty; Malnutrition and Inclusive Growth; Employment and Unemployment; Social Security measures; Regional Disparities and Ingredients of Good Governance.

The logo of Indira Gandhi National Open University (IGNOU) is a large, light gray watermark on the left side of the page. It features a stylized 'U' with a circular emblem inside, containing a dollar sign and a person figure.

Block 1

Indian Economic Development: An Overview

ignou
THE PEOPLE'S
UNIVERSITY

BLOCK 1 INDIAN ECONOMIC DEVELOPMENT: AN OVERVIEW

This Block presents the evolution of the Indian economy since the Colonial period. Covered in this block is the status and structure of the Indian economy since independence which will enable us to know the evolution and analysis of Indian economic policy in historical context. This block comprises of 5 Units.

Unit 1: Indian Economic Development: A historical perspective provides an overview of India's Colonial economy during the British period, the process resorted by the British rulers to undermine and disrupt the traditional Indian economy and important milestones of Indian national movement which in turn will enable an understanding of the evolution of Indian economic policy in post-independence period.

Unit 2: Growth and structure of the Indian economy identifies the growth path of Indian Economy since 1951, the stages of growth through which Indian Economy has evolved.

Unit 3: Demographic transition and its implications throws light on theory of demographic transition, demographic profile of India, the issues related to potential demographic dividend that can be harnessed across Indian states.

Unit 4: Natural Resources provides the status of natural resources i.e. land and soils, water resources, biodiversity, forest mineral resources etc as availability of these resources, their utilisation and capacity to mobilise determine the economy's ability to overcome the constraints on its development.

Unit 5: Physical and Social infrastructure provides a profile of the availability of physical and social infrastructure in the country. The policy framework of public private partnership that has facilitated the growth of transport, telecommunication energy and social infrastructure has been examined. The challenges confronting the infrastructure and the way ahead have also been discussed.